

E_Lecture4_W2

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Q1 [20 pts, 10 pts for each]

(1)

Darius buys only lobster and chicken. Lobster is a normal good, while chicken is an inferior good. When the price of lobster rises, Darius buys

- a) less of both goods.
- b) more lobster and less chicken.
- c) less lobster and more chicken.
- d) less lobster, but the impact on chicken is ambiguous.

Answer: c

(2)

If the price of pasta increases and a consumer buys more pasta, we can infer that

- a) pasta is a normal good and the income effect is greater than the substitution effect.
- b) pasta is a normal good and the substitution effect is greater than the income effect.
- c) pasta is an inferior good and the income effect is greater than the substitution effect.
- d) pasta is an inferior good and the substitution effect is greater than the income effect.

Answer: c

Q2	[40 pts] 若只有兩種商品，消費量分別為Q_1^D、Q_2^D，某人的偏好為完全互補，且兩種商品的最適組合為一比一。假設此人所得為 100，$P_1 = 3$，$P_2 = 5$，則其最適消費組合為何？ Suppose that a consumer consumes only 2 product A and B with volume Q_1^D and Q_2^D, respectively. For him, the two products are perfect complements and buying one A and one B is as good as one A and more than one B or more than one A and one B. If the consumer's income is 100, the price of A and B per unit is $P_1 = 3$ and $P_2 = 5$. Find the optimal consumption bundle for the consumer. $3Q + 5Q = 100, Q = 12.5$ Since $Q = Q_1 = Q_2$, then $Q_1 = 12.5, Q_2 = 12.5$
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Q3	[40 pts] 某人的效用函數為 $h(Q_1^D, Q_2^D) = Q_1^D + Q_2^D$。若他的最適選擇是「只消費商品 1，不消費商品 2」，則P_1、P_2之間的關係為何？ Suppose that a consumer consumes only 2 product A and B with volume Q_1^D and Q_2^D, respectively. The price of the two products per unit are P_1 and P_2. The consumer's utility function is $h(Q_1^D, Q_2^D) = Q_1^D + Q_2^D$. If his optimal consumption bundle is "spending all of his income to buy the second product." What's the relation between P_1 and P_2? MRS = 1 and $P_1 < P_2$
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